

For four months thereafter, debt yields collapsed and prices soared. The violent reaction in 90-day T-bill yields from the highs at 16.69% ended at 6.38%, which was exactly 38.2% of their peak level. That relationship and the clear pattern of the decline combined to indicate an imminent bottom. In August, *The Elliott Wave Theorist* showed Figure 16-2, identifying the low of wave A.

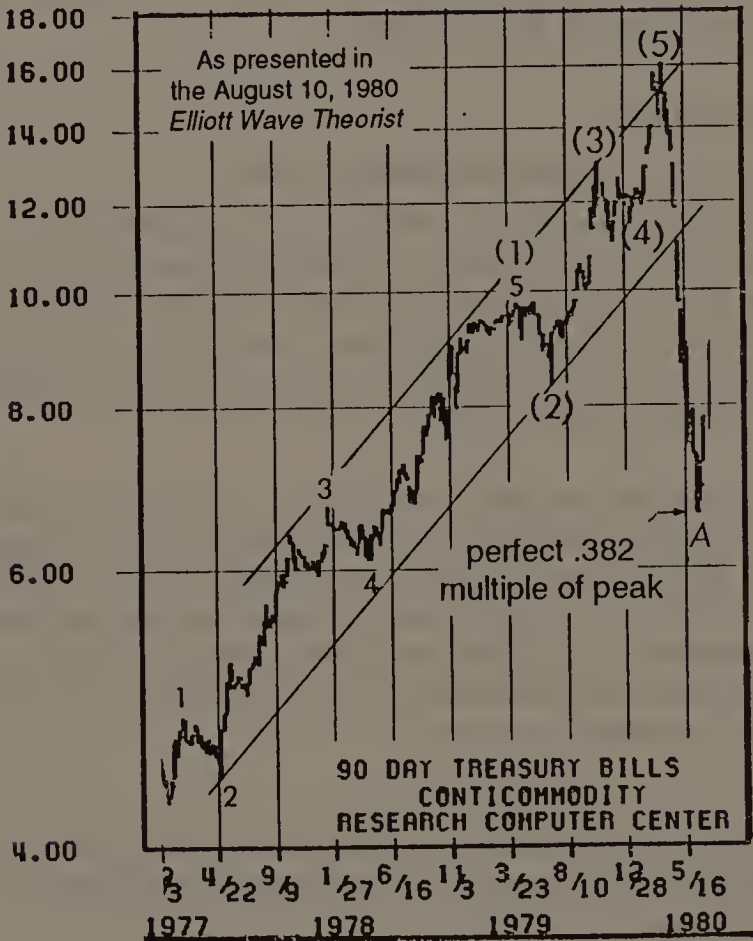


Figure 16-2

From there, rates soared again, and prices fell to new lows. The key to a proper analysis was to recognize that this move was part of a corrective pattern from the orthodox turning point that had taken place in March 1980. Ten days after the B-wave high in yield and low in prices in September 1981, (keep in mind that a plot of prices, such as shown in Figure 16-3, is the inverse of a plot of yields, such as shown in Figures 16-1 and 16-2), *The Elliott Wave Theorist* issued this assessment of bond prices on October 5: